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Hong Kong Property

Apr Retail +9%: luxury growth moderates; supermarket stabilizing

CITI'S TAKE

HK April 2026 retail sales were +8.6%yoy, a solid performance but at milder pace relative to Mar (+13%) and 1Q26 (+12%). The luxury segment, proxied by “jewelry, watches & valuable gifts”, decelerated to +20%yoy (1Q: +28%), reflecting a fading favorable base effect and lower gold prices. Supermarket continued to show signs of stabilization at +3%yoy (1Q: +2%), partly supported by increased promotion by operators. Online retail maintained strong momentum at +31%yoy, now accounting for 10% of total retail sales value amid shifted purchasing habit.

May data supported by Golden Week tourism (+8%yoy); beware of upcoming higher comparable base — We estimate HK May retail sales could rise 5–8%yoy (to HK\$33–34bn), partly driven by the 8%yoy growth in visitor arrivals during the 5.1 holiday, which included +10%yoy increase in Chinese mainland visitors. Despite the tailwind from a weaker HKD FX against Rmb (5M26: -4%), we expect overall retail to post sequential deceleration in yoy growth, as the base for comparison strengthens given the recovery in market sentiment that kicked in from late-May to June 2025. Relative to our previous expectations, we have turned slightly constructive on non-discretionary retail, noting its spot rent has begun to stabilize thanks to the sales stabilization (e.g., supermarket).

Our thoughts on retail landlords — *Link REIT*: we have recently upgraded to Buy given spot rent stabilization and the company's pivot to a divestment-and-buyback model; see more at our report [U/G to Buy: More Good News; 7.6% Total Return on Divest & Buyback](#). For luxury retail across HK and Chinese mainland, the investors' worry on SSSG deceleration on a higher base into 2H had been a primary cause behind share price corrections. That said, *Hang Lung Properties*' 6.5% yield may started to be viewed as attractive by some yield-seeking investors, and *Wharf REIT*'s tenant sales at Harbour City have outperformed the broader market (though some investors flag reversion as an overhang given company guidance). Across the whole HK property space, our **top picks** are SHKP, CKA, Swire Properties and Link REIT.

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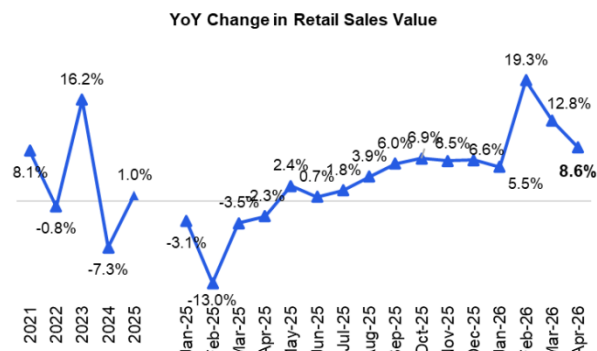
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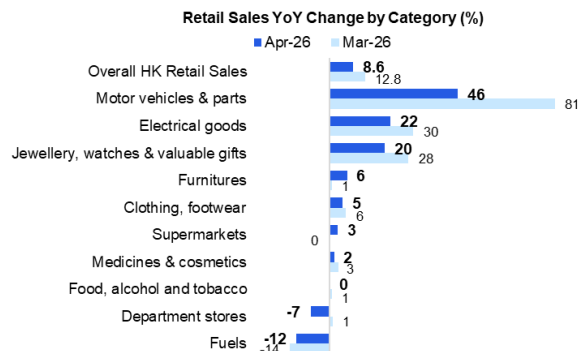
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Figure 1. HK Retail Sales Value: +8.6% in Apr'26



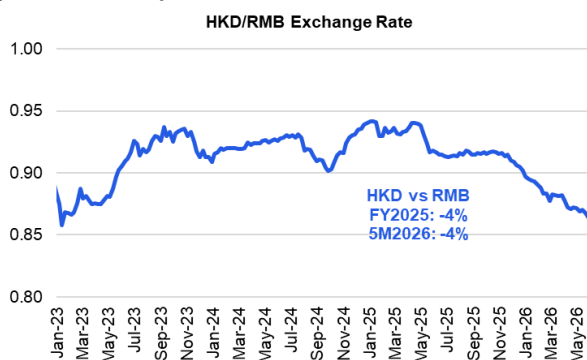
Source: Census & Statistics Department, Citi Research

Figure 2. HK Retail Sales Value YoY Change by Category



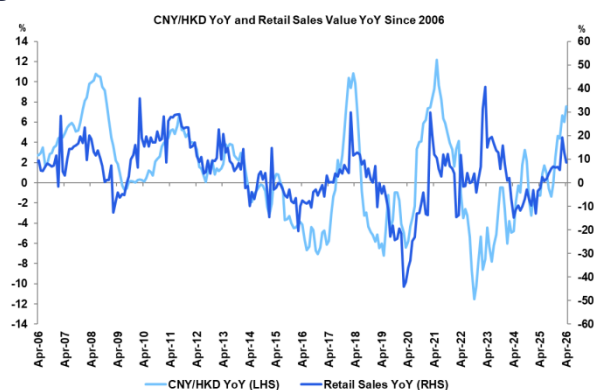
Source: Census & Statistics Department, Citi Research

Figure 3. HKD Depreciated 4% vs. Rmb in 5M26



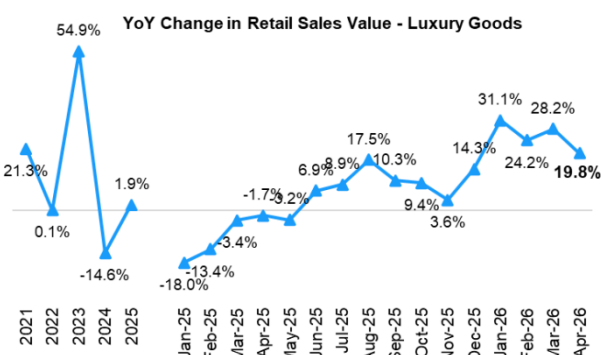
Source: Bloomberg, Citi Research

Figure 4. HK Retail Sales Correlates with HKD/Rmb Forex



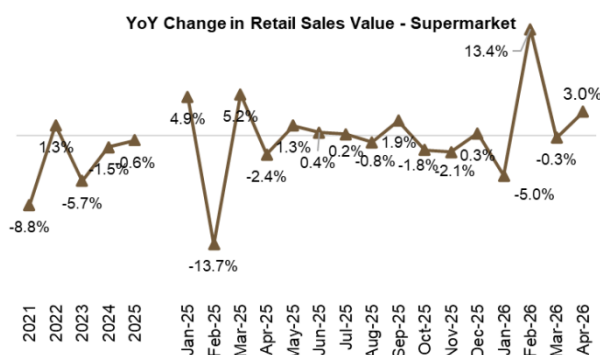
Source: Census & Statistics Department, Bloomberg, Citi Research

Figure 5. HK Luxury Goods: accelerate in Apr'26



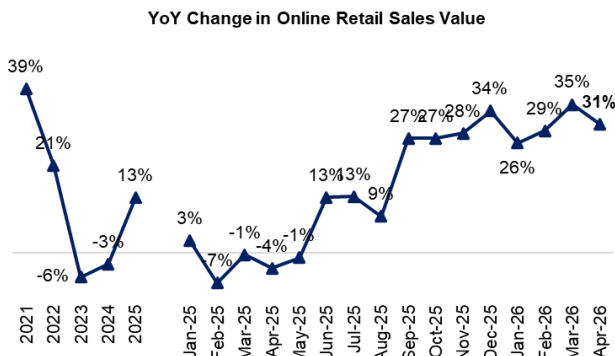
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Source: Census & Statistics Department, Citi Research
Note: Luxury goods refer to retail sales under the category of "Jewelry, Watches, Clocks & Valuable Gifts"

Figure 6. HK Supermarket Retail: stabilizing



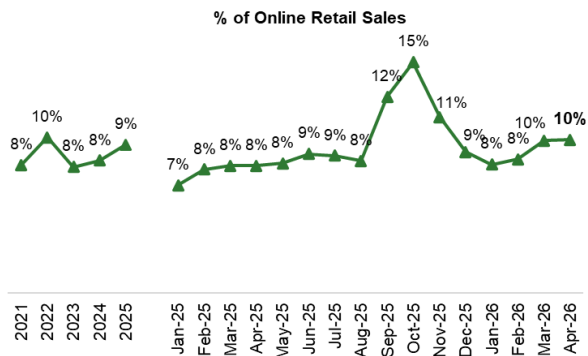
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Source: Census & Statistics Department, Citi Research

Figure 7. HK Online Retail Sales Value: strong yoy surge



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Figure 8. HK Online Retail Sales Value: 10% mix



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Source: Census & Statistics Department, Citi Research

Figure 9. HK Property Sector — Valuations (2-Jun-2026 close) Citi Rating: 1 – Buy; 2 – Neutral; 3 – Sell; H – High Risk

Stock	R/C	2-Jun-26 Price	Mkt Cap (USDm)	Citi Rating	Est. NAV	NAV Disc	Target Price	FY26E P/E	FY27E P/E	FY28E P/E	FY26E P/B	FY27E P/B	FY28E P/B	FY26E Yield	FY27E Yield	FY28E Yield
Wharf	0004.HK	23.20	9,049	3	47.00	-51%	21.15	17.0	16.8	15.9	0.5	0.5	0.5	1.7%	1.7%	1.7%
Henderson Land	0012.HK	30.74	18,995	1	57.00	-46%	34.20	20.6	18.5	16.9	0.5	0.5	0.5	4.1%	4.1%	4.1%
Hysan	0014.HK	18.62	2,441	1	45.74	-59%	24.30	13.5	12.9	12.4	0.3	0.3	0.3	5.8%	5.8%	5.8%
SHK Properties	0016.HK	130.00	48,081	1	210.00	-38%	168.00	16.6	15.5	14.2	0.6	0.6	0.6	3.0%	3.2%	3.5%
New World Dev	0017.HK	8.27	2,656	2	22.65	-63%	11.32	NM	NM	NM	0.1	0.1	0.1	0.0%	0.0%	0.0%
Sino Land	0083.HK	11.78	14,413	1	18.93	-38%	14.20	21.8	21.4	20.4	0.7	0.7	0.7	4.9%	4.9%	4.9%
Hang Lung Ppt	0101.HK	8.02	5,176	1	27.99	-71%	11.20	12.8	12.1	11.5	0.3	0.3	0.3	6.5%	6.5%	6.5%
Kerry Prop	0683.HK	20.50	3,797	1	63.87	-68%	25.55	12.1	7.8	4.9	0.3	0.3	0.3	6.6%	6.6%	6.6%
Fortune REIT	0778.HK	4.83	1,271	1	10.37	-53%	6.00	16.7	17.5	17.6	0.4	0.4	0.4	7.0%	6.7%	6.6%
Link REIT	0823.HK	39.66	13,156	1	55.96	-29%	44.80	15.6	16.0	16.1	0.7	0.7	0.7	6.4%	6.3%	6.2%
CK Asset	1113.HK	47.20	21,084	1	99.18	-52%	54.80	13.4	13.2	12.4	0.4	0.4	0.4	3.9%	3.9%	4.2%
Swire Properties	1972.HK	22.60	16,608	1	51.59	-57%	28.80	17.4	13.6	13.3	0.5	0.5	0.5	5.4%	5.6%	5.9%
Wharf REIC	1997.HK	24.30	9,417	1	57.45	-58%	31.60	11.8	11.6	11.3	0.4	0.4	0.4	5.5%	5.6%	5.7%
Champion REIT	2778.HK	2.41	1,893	3	5.09	-55%	2.03	17.9	18.3	18.2	0.4	0.4	0.4	5.0%	4.9%	4.9%
Hongkong Land	HKLD.SI	7.62	16,358	1	14.86	-49%	9.88	35.5	31.2	25.8	0.5	0.5	0.5	3.5%	3.7%	3.9%
Average						-44%		17.4	17.5	18.2	0.6	0.6	0.6	4.1%	4.2%	4.4%

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Source: DataCentral; Citi Research estimates Note: listed in the order of stock code; N.M stands for "not meaningful" due to loss-making

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Appendix A-1

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